MINUTES OF FEBRUARY 18, 2026
REGULAR APCHA BOARD MEETING OF THE
ASPEN/PITKIN COUNTY HOUSING AUTHORITY

CALL TO ORDER: Carson Schmitz, Chair, called the Regular APCHA Board Meeting of February 18, 2026, to order at 4:00 p.m. The APCHA Board Meeting was held in person and on Zoom. ROLL CALL VOTE: Scot Woolley, Carson Schmitz, John Doyle, Peter Grenney, Jackie Matthews (new Community appointee), and Jeffrey Woodruff were present. Christine Benedetti was present on Zoom.

Staff Members in Attendance: Matthew Gillen, Executive Director; Cindy Christensen, Deputy Director of Property Management & Housing Operations; and Karen Bromka, Administrative Assistant. Bethany Spitz, Deputy Director of Compliance and Policy; Liz Axberg, City Housing Policy; Emily Maynard, Housing Policy; Nicole Beairsto, Project Specialist; and Tom Smith, APCHA's Attorney, were present on Zoom.

AGENDA AMENDMENTS: There were none.

PUBLIC COMMENT: Schmitz opened the meeting to Public Comment for items not on the agenda.

- Robin Whitlin, a longtime Aspen resident and senior, addressed the Board relating to the vacancies at Aspen Country Inn and encouraged the Board to consider whether seniors who meet income requirements, but not work requirements, could be considered for available units if vacancies persist. Schmitz stated that the Board stated that it is worth discussing and will add as a later agenda item.

APCHA BOARD OF DIRECTOR'S COMMENTS:

- Benedetti had none.
- Woodruff had none.
- Matthews had none.
- Doyle had none
- Grenney had none.
- Woolley welcomed Jackie Matthews as the newest Board member, reiterated the values of the Board, and thanked Robin Whitlin for her public comment and participation.
- Schmitz also welcomed Jackie Matthews and expressed appreciation for her willingness to serve on the Board.

EXECUTIVE DIRECTOR'S COMMENTS: Gillen provided an overview of the following:

- Provided a background on Aspen Country Inn, noting it is a low-income housing tax credit property with a 50% AMI cap, which creates challenges in filling units due to the very low-income threshold. Explained that the property works best for single individuals and includes a senior priority and reminded the Board that the work requirement was previously reduced to 1,000 hours to improve occupancy.

- Reported that staff continues outreach efforts to fill vacancies, including advertising and targeted outreach down valley, and noted that staff is closely monitoring vacancy impacts on program finances.
- Announced that the next HOA Education Series workshop will take place the following week at the APD Community Room and will focus on permitting, with participation from City and County Community Development staff.
- Shared that the HOA newsletter was recently distributed, marking the second edition, and explained that the newsletter includes a survey related to HOA insurance to support work plan goals.
- Highlighted that Kelly McNichols-Kury authored a housing column that will be published the following day, describing it as a comprehensive overview of the Board's accomplishments over the past several years.
- Noted that he will be authoring the March housing column, which will focus on public engagement and how community members can participate in APCHA processes, including public comment and board interaction.
- Thanked staff and Board members and acknowledged the significance of the timing of the meeting, noting it coincided with major cultural and religious observances.

Christensen reminded everyone to sign up for notifications on the APCHA website in order to submit interest for rental units managed by APCHA and any new ownership opportunities

CONSENT CALENDAR: Approval of the two items was requested by Schmitz to be voted on separately.

- Doyle made a motion to approve the Minutes of the Regular Meeting held January 21, 2026; Woolley seconded the motion. ROLL CALL VOTE: Grenney, Woolley, Schmitz, Doyle, and Woodruff voted yes. Motion passed.

- A request was made to have a mold test done on the unit. Staff will be sure that this is completed. Doyle made a motion to approve Resolution 1, Series of 2026, Appropriating funds for the Remodel of 161 Mining Stock Parkway, Unit 201, and approving the Category change; Woolley seconded the motion. ROLL CALL VOTE: Grenney, Woolley, Schmitz, Doyle, and Woodruff voted yes. Motion passed.

REGULATION CHANGES OVERVIEW: Spitz presented multiple proposed regulation changes for discussion with the hopes of having First Reading on March 18 and Public Hearing on April 15, 2026.

Rental Requalification Income Limits

- A proposal was presented to remove or modify income limits at requalification for deed restricted rental units, noting staff has received feedback that tenants are declining raises, promotions, or additional work opportunities due to fear of losing housing. The tax credit properties do not impose income limits after initial qualification, and that aligning APCHA rental policies more closely with that model could improve housing stability. Potential impacts include reduced turnover, and the possibility that higher-income tenants could remain in lower-category units longer.

- Board members discussed balancing housing stability, workforce retention, and access for new applicants, acknowledging concerns related to reduced turnover and system flow.
- The Board expressed interest in raising allowable income at requalification rather than eliminating limits entirely, emphasizing the importance of maintaining reasonable guardrails.
- A suggestion was to allow individual qualification for rental units, rather than pooling incomes of unrelated roommates. The current system could provide disadvantages with shared housing arrangements and non-family households; i.e., three working adults vs. a family of three with one or two working adults.

Board direction was to continue evaluating this concept, with interest expressed in a capped approach (discussion ranges included approximately 200–250%), and to return with a refined proposal for further consideration.

Ownership Lottery System & Lottery Chance Reform

- Presented proposed reforms to the ownership lottery system, including adjustments to lottery chances and eligibility. What is being proposed is to allow applicants with shorter work histories (e.g., 1–4 years) to begin participating in ownership lotteries, while preserving increased chances for long-term community members.
- Board members discussed workforce recruitment, equity, and the importance of encouraging both long-term commitment and access for newer workers.
- The Board discussed whether eligibility should begin in one year versus two years of work history.

Board direction was to continue refining the lottery reform concept and return with a more defined proposal for possible first reading.

ADA Priority Clarification for APCHA-Managed Rental Units: A proposal to clarify priority language for ADA-accessible APCHA-managed rental units was presented stating that priority would first be given to ADA-qualified applicants for units that are classified as ADA, followed by emergency workers if no ADA applicant is available. The intent is to clarify existing practice and reduce confusion. Board provided direction to staff to advance this clarification to first reading.

Owner Transfer Priority for Lumberyard Rental Units: A proposal was presented to establish a priority for owners wishing to sell their APCHA ownership units to transfer into Lumberyard rental units, as a way to encourage downsizing and unit turnover. A limited number of rental units could be designated for this priority, with unused units reverting to the general rental pool. Board members discussed fairness, potential maintenance concerns, inspection requirements prior to resale, and administrative implications. It was noted that City Council approval would be required due to existing priorities at the Lumberyard and this is only a request from APCHA to City Council. Board direction was to request this priority to City Council.

The Board discussed broader workforce impacts, including how housing policies affect employee retention, promotions, and local hiring. Spitz stated that staff does not currently have comprehensive data on turnover drivers and acknowledged the need for additional analysis. The Board emphasized the importance of aligning rental policies with local workforce realities while preserving program equity and intent.

The Board expressed general support for advancing the proposed Regulation changes. Spitz stated staff will return in March with refined proposals for formal consideration based on Board feedback.

LEGAL OVERVIEW – CRIMINAL BACKGROUND / SEX OFFENDER POLICY
Tom Smith, legal counsel, provided an overview of potential approaches to addressing registered sex offender and criminal background issues within APCHA programs. He explained that APCHA currently lacks explicit regulatory authority to exclude or remove individuals based solely on registered sex offender status, and that clear, programmatic regulations would be required. Smith outlined considerations related to HUD guidance, due process requirements, administrative burden, and the limitations and reliability of available criminal background databases. He emphasized that any policy would need to be clearly defined, consistently applied, and legally defensible, rather than handled on an ad hoc basis.

Board members discussed enforcement complexity, data limitations, and the importance of balancing resident safety with administrative feasibility. The consensus was to direct staff and legal counsel to continue exploring a narrowly tailored approach, focused on registered sex offenders, and to return with options for further discussion.

LUMBERYARD DEVELOPMENT UPDATE & SPECIAL LIMITED PARTNER (SLP) INTRODUCTION: Chris Everson, City of Aspen Senior Project Manager, Affordable Housing presented

Everson referenced updated regional housing shortage figures, noting a current shortage plus projected need, and emphasized that the figures already assume Lumberyard is completed—underscoring that the broader shortage continues to worsen over time. He framed the Lumberyard as a major step toward addressing the gap, while acknowledging the region will still need additional projects beyond Lumberyard.

Project scope, timeline, and phasing: Everson stated the City hired Gorman & Company as the private developer and that the project will be delivered in two phases, with a first closing planned in April of 2027 and a second closing anticipated in 2027 (April/May). He described an overall completion schedule with the first phase targeted for 2028 and the second phase extending into late 2028/2029, with a staggered but relatively fast lease-up. The project totals 277 rental units across three buildings, consisting of 1–3 bedroom units. He explained the first phase/first building is 104 units and includes infrastructure for the entire project (utilities/roadways), making the first phase disproportionately costly due to infrastructure work.

Income categories and unit allocation (how categories work at Lumberyard): Everson summarized planned category distribution including a portion of Category 1, Category 2, Category 3, some Category 4, and some Category 5 units, and noted Category 2 and 3 make up the majority of units. He explained that categories are managed across the project as totals rather than permanently assigned to individual units, allowing some flexibility as incomes change (e.g., balancing category counts across available units).

Financing and City contribution: Everson described the City's total contribution as approximately a quarter-billion dollars and noted upcoming City Council review of the closing package and final budget, with Gorman still finalizing its budget.

Operations model - How leasing/qualification/enforcement will work: Everson explained the Lumberyard will be on a City ground lease, and Gorman will own/operate the facilities for at least 15 years (with potential extension). He stated the units will carry 100% APCHA deed restrictions (not LIHTC), and that tenant selection will occur via lottery for initial lease-up and future turnover. He described Gorman's responsibilities as follows:

- advertising and application processing
- conducting lotteries

- completing qualification work for lottery winners
- property management and enforcement

Everson stated APCHA will have access to tenant qualification documents with file sharing transparency, and APCHA can review/audit a portion or all files as deemed appropriate. He emphasized APCHA retains final tenant qualification authority, meaning APCHA can overrule Gorman's determinations. Everson noted plans for training of Gorman property management staff so they understand the nuance of APCHA qualifications.

Board questions and discussion on admin burden and enforcement: Board members raised concerns about staff capacity and the practical burden of auditing/oversight as more units come online. Everson said SOPs and audit scope will be clarified and the outsourcing model is intended to reduce the need for continuously adding APCHA staff. A question was raised about enforcement and whether leases can simply end. Smith clarified recent Colorado law changes limit "non-renewal" approaches and make tenant removal more difficult unless there is cause, and Everson noted Gorman is familiar with these constraints. Everson stated that Gorman operates similar properties statewide and has strong enforcement capability, while acknowledging Colorado rules are challenging.

A question was raised about waitlists. Everson said waitlists exist at some properties but are typically site-specific, not system-wide. A question was raised about integration with HomeTrek; Everson indicated Gorman will have its own website and can coordinate with APCHA for posting information, and APCHA will have access to qualification documents through sharing.

Traffic/Construction logistics (start, infrastructure, signal): Everson stated construction can begin after closing and permitting; initial work will focus on infrastructure (earth moving, trenching, utilities, roadways), followed by foundations for the first building. He noted the project is modular, with factory scheduling reserved; modules are expected to be trucked in starting in the fall (factory referenced as being out of state). On the traffic signal, Everson said coordination with CDOT is ongoing; timing could be during construction or at occupancy, and he planned to provide an update later.

Special Limited Partner (SLP) Introduction — Request to APCHA: What is being requested and why: Everson introduced the City's request for APCHA to become a 0.01% Special Limited Partner in the entity for Lumberyard Apartments 1. He explained the rationale that housing authorities can enable certain tax exemptions when they hold an ownership interest, which can reduce operating costs and support financing capacity for deed-restricted rental projects. Everson described this as a common arrangement and noted APCHA has served as an SLP in other projects.

Liability / legal exposure discussion: Everson described the SLP position as non-operating and intended to have limited duties tied primarily to enabling the tax exemption; however, Smith cautioned that liability is not truly "zero" and said the agreement should be tightened to limit APCHA exposure as much as possible. Smith noted that if legal issues arise, parties may still name APCHA in litigation regardless of operational delegation, and he planned to rereview agreement language to strengthen protections.

Timing / next steps (as stated in meeting): Everson stated the intent was to bring the SLP agreement and a resolution for APCHA consideration at a future meeting (referenced March 18), and City Council action to be discussed later in March in relation to closing preparations. He indicated the project closing package would be reviewed with City Council and the team was working toward readiness for the April closing.

Additional board comments/questions tied to SLP and project delivery: Board members asked about the

15-year extension and expressed interest in APCHA having a role in extension criteria discussions, given APCHA's involvement as SLP. Workforce housing for construction labor was raised. Everson stated Gorman has not requested worker housing solutions from the City/APCHA and appears to understand the local constraints.

After a short discussion, staff was directed to bring back a resolution approving the SLP Agreement at the next meeting.

Doyle made a motion to adjourn the meeting; Woolley seconded the motion. ROLL CALL VOTE: Grenney, Woolley, Doyle, Schmitz, and Woodruff voted in favor. Motion passed. Meeting adjourned at 6:11 p.m.

The next Board meeting is scheduled for March 18, 2026.

THE ASPEN/PITKIN COUNTY HOUSING AUTHORITY

Carson Schmitz, Chair

Matthew Gillen, Secretary